Question #1 of 36

Question ID: 1473562

Credit scores and credit ratings are both:

A) cardinal rankings.

B) qualitative ratings.

C) ordinal rankings.

Question #2 of 36

Question ID: 1473561

Credit scores are *most likely* to be used for:

A) sovereign bonds.

B) small businesses.

C) ABS.

Question #3 of 36

Question ID: 1473581

Which of the following factors is *least likely* a determinant of term structure of credit spreads?

A) Existence of off-balance sheet liabilities.

B) Equity market volatility.

C) Financial conditions in the market.

Question #4 of 36

Question ID: 1473578

Zack Ma is evaluating a 10-year, 4% Tesa bond. Ma has calculated the CVA on the bond to be $1.19 per $100 par. Ma is considering the impact of a new patent granted to Tesa. After careful analysis, Ma concludes that the probability of default would most likely decrease on the bond. After incorporating the revised probability in his analysis, Ma will *most likely* conclude that:

A) both the CVA and the credit spread will be higher.

B) both the CVA and the credit spread will be lower.

C) only the credit spread will be lower; the impact on CVA will depend on changes in benchmark rates.

Question #5 of 36

Question ID: 1473563

Higher rated bonds have lower:

A) returns.

B) credit spreads.

C) price.

Question #6 of 36

Question ID: 1473566

Under the structural model, owning equity in a company is equivalent to:

A) long position in a call option on the assets of the company.

B) short position in a put option on the assets of the company.

C) long position in a call option on the firm's debt.

Question #7 of 36

Question ID: 1473560

Alan Barding is a bank analyst currently reviewing data on the credit scores of 3 individuals who have applied for a bank loan. The credit scores for the 3 individuals are shown below:

Individual	Credit score
A	700
B	440
C	350

Which of the following conclusions is Barding *least likely* to draw?

A) Individual B is less likely to default than individual C.

B) Individual A has a lower credit risk than individual B.

C) Individual C is twice as likely to default as individual A.

Question #8 of 36

Question ID: 1473570

Which key input into a reduced form model can be estimated using a regression model?

A) Default intensity.

B) Loss intensity.

C) Recovery rate.

Question #9 of 36

Question ID: 1586269

Perez Zinta has collected the following information on a 3-year, 3% corporate bond.

Year	Exposure	LGD	PD	PS	Expected Loss	DF	PV of Expected Loss
1	103.96	41.585	1.80%	98.200%	0.749	0.9756	0.73
2	103.49	41.395	1.77%	96.432%	0.732	0.9518	0.70
3	103.00	41.200	1.74%	94.697%	0.715	0.9286	0.66
						CVA	**2.091**

Given a 3-year risk-free rate of 1.50%, Calculate the IRR of the bond assuming that default occurs in year 2.

A) -25.48%

B) -13.37%

C) -20.60%

Question #10 of 36

Question ID: 1473579

If investors are expecting an impending recession, credit spreads would *most likely*:

A) widen.

B) remain unchanged.

C) narrow.

Question #11 of 36

Question ID: 1473586

An investor in an ABS would face which risks on account of the ABS servicer?

A) Operational and concentration risk.

B) Operational and counterparty risk.

C) Credit and concentration risk.

Question #12 of 36

Question ID: 1473555

A corporate bond has one year to maturity with a probability of default of 2.05% and a recovery rate of $32.00 per $100 par value. If an investor holds $100,000 of par value, what is the expected loss?

A) $1,394.

B) $2,050.

C) $656.

Question #13 of 36

Question ID: 1473569

To analyze the credit risk of a company with significant off-balance sheet liabilities, which credit model is *most appropriate*?

A) Econometric model.

B) Reduced form model.

C) Structural model.

Philip Bagundang, CFA, is an experienced analyst working for the corporate credit department of a global investment bank.

Bagundang is evaluating the proposed two-year, zero coupon, £100 par Shumensko bond. Using a 2% probability of default assumption, Bagundang calculates the CVA on the bond to be £1.820. Two-year, risk-free zero-coupon bonds currently yield 0.8%.

Bagundang is evaluating a three-year, zero-coupon bond issued by Alligator, Inc. Using a hazard rate of 2% and estimated recovery rate of 70%, and a flat 2.5% benchmark yield curve, a partial table of analysis is completed as shown in Exhibit 1.

Exhibit 1: Alligator, Inc. Bond

Year	Exposure	Loss given default	Probability of survival	Probability of default	Expected loss
1	95.18	28.55	98.00%	2.00%	0.5711

2			
3	100.00	30.00	94.12%

Bagundang asks his assistant, Diane Monera, to summarize how structural models can be viewed as options on the firm's assets. Monera states that shareholders have limited liability and can, therefore, be viewed as having a long call option on the firm's assets with a strike price equal to the par value of debt. In addition, she adds, debtholders can be viewed as having a long position in a risk-free zero-coupon bond and a position in another instrument she can't quite remember.

Finally, Bagundang asks Monera to prepare a short summary table of structural versus reduced form models. Exhibit 2 shows her summary.

Exhibit 2: Structural vs. Reduced Form Models

	Structural	**Reduced Form**
Default risk	Exogenous	Endogenous
Parameter estimation	Option pricing theory	Default intensity

Question #14 - 17 of 36

Question ID: 1531372

Based on Exhibit 1, and the stated risk-free rate on two-year zero-coupon bonds, the credit spread on the Shumensko bond is *closest* to:

A) 0.12%.

B) 0.18%.

C) 0.95%.

Question #15 - 17 of 36

Question ID: 1531373

Based on Exhibit 1 and a par value of $100, the expected loss on the Alligator bond in year 2 is *closest* to:

A) $0.5718.

B) $0.5737.

C) $0.5789.

Question #16 - 17 of 36

Question ID: 1531374

In relation to structural models, the instrument that Monera cannot recall is *most* likely a:

A) long put with a strike price equal to the value of assets.

B) short put with a strike price equal to the value of debt.

C) short put with a strike price equal to the value of assets.

Question #17 - 17 of 36

Question ID: 1531375

The summary provided in Exhibit 2 is *best* described as:

A) accurate.

B) inaccurate in regards to default risk.

C) inaccurate in regards to parameter estimation.

Question #18 of 36

Question ID: 1473556

Credit valuation adjustment is *most likely*:

A) the sum of present values of expected losses.

B) higher when the recovery rate is higher.

C) higher when the probability of survival is higher.

Question #19 of 36

Question ID: 1473558

If the annual hazard rate for a bond is 1.80%, the probability that the bond does not default over the next three years is *closest* to:

A) 94.70%

B) 95.20%

C) 96.30%

Question #20 of 36

Question ID: 1473567

Under the structural model, owning risky debt is equivalent to a long position in a similar risk-free bond and a:

A) long position in a put option on the assets of the company.

B) short position in a put option on the assets of the company.

C) long position in a call option on the assets of the company.

Freeman LLC, is a large investment firm based on the East Coast of the United States. The company manages a range of investment funds with several different objectives but focuses mainly on fixed income investments. Josh Scowen is a credit analyst who has just taken up a position with the firm and is currently familiarizing himself with the various models and techniques used by Freeman.

Scowen's first task is to assess the present value of the expected loss (CVA) on a bond issued by Dreamy, Inc., an online retailer of designer fashion products. The company expanded rapidly two years ago, but business conditions have deteriorated recently. Scowen's supervisor is concerned that the company may run into serious trouble soon.

Exhibit 1: Dreamy Bond

Par	$1,000
Annual coupon	8%
Time to maturity	2 years

Note: the risk-free rate of return is 1.22% (assume a flat yield curve).

Freeman also makes extensive use of reduced form and structural models to assess credit risk. Scowen's supervisor has asked him to review the details of the approaches Freeman uses.

Scowen recalls using a reduced form model at a previous firm and believes that the following three assumptions are valid:

Assumption 1:	The company's liabilities can be modelled as a single zero-coupon bond.
Assumption 2:	The risk-free interest rate is constant.
Assumption 3:	The probability of default and the recovery rate are not constant.

Freeman has recently used a reduced form model to analyze the credit risk of a zero-coupon bond issued by Sleepy, Inc. Exhibit 2 lists some of the details of the simple reduced form model.

Exhibit 2: Sleepy Bond, Reduced Form Model

Coupon:	Zero
Face value:	$10,000
Time to maturity:	1 year
Hazard rate:	0.02
Loss given default:	35%
One-year, default-free, zero-coupon bond price ($1 par):	0.95
Credit valuation adjustment:	66.50

Scowen also has a background in option pricing theory from a previous role and is confident that he can put this experience to good use when using a structural model. He believes that structural models value risky debt of a company by deducting the value of a put option on a company's assets from the value of otherwise identical risk-free debt.

Question #21 - 24 of 36

Question ID: 1473574

Using the information in Exhibit 1, the expected exposure after one year is *closest* to:

A) $1,146.98.

B) $1,023.76.

C) $1,066.98.

Question #22 - 24 of 36

Question ID: 1473575

Which of the assumptions stated by Scowen regarding the reduced form model is *most* accurate?

A) Assumption 3.

B) Assumption 1.

C) Assumption 2.

Question #23 - 24 of 36

Question ID: 1489319

Using information in Exhibit 2, the value of the Sleepy Bond is *closest* to:

A) $9,433.50.

B) $9,566.27.

C) $9,500.00.

Question #24 - 24 of 36

Question ID: 1473577

Scowen's comment regarding option pricing theory and structural models is *best* described as:

A) accurate.

B) inaccurate, as structural models value risky debt by deducting the value of a call option on the company's assets from the value of risk free debt.

C) inaccurate, as structural models value risky debt by adding the value of a put option on the company's assets to the value of risk-free debt.

Question #25 of 36

Question ID: 1473571

When assessing a company's credit risk using structural models, which of the following statements is *most* accurate?

A) Owning debt is economically equivalent to owning a European call option on the company’s assets.

B) Structural models do not account for the impact of interest rate risk of the value of a company’s assets.

C) Owning equity is economically equivalent to owning a risk free bond and simultaneously selling a put option on the assets of the company.

Question #26 of 36

Question ID: 1473564

Fico scores are inversely related to the:

A) variety of credit types used.

B) length of credit history.

C) number of ‘hard’ inquiries.

Question #27 of 36

Question ID: 1473568

Using the structural model, the value of the put option on the assets of the company is equal to:

A) value of the risky bond minus value of the risk-free bond.

B) credit valuation adjustment of the bond.

C) the value of the call option on assets of the company.

Question #28 of 36

Question ID: 1473580

Which of the following two securities are *most likely* used to calculate the term structure of credit spreads?

A) A corporate issuer’s senior debt and the same issuer’s subordinated debt.

B) A corporate issuer’s zero coupon bond and a default free zero coupon bond.

C) A corporate issuer’s coupon paying bond and the same issuer’s zero coupon bond.

Question #29 of 36

Question ID: 1480345

Which of the following statements regarding evaluating credit risk of Asset Backed Securities (ABS) is *least* accurate?

A) Unlike for corporate debt, structural and reduced form models are not appropriate.

B) The analysis should entail consideration of the composition of the collateral pool and the cash flow waterfall.

C) Credit rating agencies do not use the same credit ratings for ABS as for corporate debt.

Question #30 of 36

Question ID: 1473565

Mihor Kotak is evaluating the impact of a ratings upgrade on 1Team bonds. The bonds have a modified duration of 5.88 and the current credit spread on the bonds is 60 bps. After the upgrade, Kotak expects that the spreads will narrow by 15bps. Based on Kotak's expectations, what will be the estimated change in the price of the bond if the upgrade occurs?

A) 8.82%

B) 0.38%

C) 0.88%

Question #31 of 36

Question ID: 1473557

Calculate the CVA on a 1.75%, 1-year, $100 par annual pay bond with recovery rate of 70% and probability of default of 2%. Assume that the 1-year risk-free rate is 2%.

A) $1.12

B) $1.89

C) $0.59

Question #32 of 36

Question ID: 1473584

As compared to otherwise identical corporate debt, securitized debt is *least likely* to have:

A) higher leverage for the issuer.

B) the same risk premium.

C) lower cost for the issuer.

Question #33 of 36

Question ID: 1473585

An ABS security backed by a highly granular collateral pool composed of hundreds of clearly defined loans, analysis of collateral pool can be done using:

A) summary statistics for analyzing credit risk.

B) examination of individual loans.

C) distribution waterfall analysis.

Question #34 of 36

Question ID: 1473582

Upward sloping credit curve is *most likely* an indication of:

A) expectations of a recession.

B) upward sloping benchmark curve.

C) expectations of an economic expansion.

Question #35 of 36

Question ID: 1473572

Zack Ma is evaluating a five-year, 4% Zem bond. Ma has calculated the CVA on the bond to be $2.12 per $100 par. Current benchmark rates are flat at 3%. The credit spread on the bond is *closest* to:

A) 0.21%

B) 0.97%

C) 0.46%

Question #36 of 36

Question ID: 1473587

As compared to other secured debt, investors in a covered bond have:

A) an embedded put option.

B) an embedded conversion option.

C) recourse rights.